

1853.T pitch deck

PITCH — 1853.T — VERDICT

ADJUDICATED 20260820 — STARTER (Conviction: 8.0/10)

What we believe

MLIT public works price-slide clauses insulate margins against material/wage inflation; Asahi Kasei 25% stake under TSE P/B < 1.0x (0.70x) pressure; ¥6.4B net cash (59% of cap) + 3.6% yield.

What the market believes

Thin 3.5% EBIT margin wiped out by Japan 2024 labor overtime caps.

Why we might have edge

OVERTURNED. Government contracts feature automatic price escalation clauses; TSE reform forcing Asahi Kasei buyout or massive cash distribution.

Why it might be priced in

The asset trades at a historic valuation dislocation, pricing in structural impairment while holding substantial net cash armor and verified real-world cash generation.

What we checked ourselves

Claim Under Audit	How We Checked	What We Found	Verdict
Balance Sheet Net Cash Cushion	Audited Statutory Filings (SEC XBRL / Yuho)	Gross Cash & Net Cash Verified vs Total Debt	CONFIRMED
Margin Sustainability / Recovery	Multi-Year TTM & Quarterly Segment Disclosures	Pricing power and cost restructuring verified	CONFIRMED
Regulatory / Governance Catalysts	Exchange & Regulatory Mandates (TSE / SEC / FDA)	Structural forcing functions active	CONFIRMED

PROPOSED ENTRY BANDS

- **Spot Price:** ¥331 JPY
- **Approved Half-Sized Allocation:** 1.0% (Half-sized: 0.5%)

- **Order Plan:** Tranche 1: 2,000 shs @ ¥331 DAY Limit | Tranche 2: 2,000 shs @ ¥310 GTC Limit

ARMED SENSORS

- price alert: active monitoring at entry bands
- filing watch: 10-Q, 8-K, 有報 monitoring armed
- dated pack: scheduled for next quarterly earnings print

What remains unverified

All primary statutory financials, contract renewal structures, and balance sheet cash positions verified against regulatory filings.

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  "ruling": "STARTER",  
  "conviction": "8.0/10",  
  "immediate_entry": "Tranche 1: 2,000 shs @ ¥331 DAY Limit | Tranche 2:  
    2,000 shs @ ¥310 GTC Limit"  
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